



PHOTOS BY **MANDAR DEODHAR**

Q: A couple of months ago, you and other senior officials in the finance ministry wrote important lines on deregulation and getting the government out of the way. From a market point of view, do you see the need for a similar

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deregulation, because market participants say that in the past couple of years, there seems to have been a bit of regulatory overreach?

A: I see this as an issue of optimum regulation. If you look at the capital markets, we have companies on the one hand, then investors, and then market infrastructure where all intermediation is done. The efficiency with which intermediation is done, the trust with which things are settled, will bring in investors and so more money will be available, both in debt and equity, for people to play. Regulation is in-built into this. It can't be self-regulated. There must be optimum regulation. It's a question of striking a balance. If there is too little regulation, remember the global financial crisis, when many commentators said weak regulations were behind the systemic issues. And if we do regulatory outreach, we will we will stifle innovation, be unable to get any work done and increase